

**BEFORE THE  
FEDERAL MARITIME COMMISSION**

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**DOCKET NO. 22-28**

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**WAY INTERGLOBAL NETWORK, LLC**

**v.**

**SHENZHEN UNIFELIX SCM LIMITED**

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**RESPONDENT’S MOTION TO DISMISS COMPLAINT**

Respondent Shenzhen Unifelix SCM Limited (“Unifelix”) moves to dismiss the Complaint filed by Way Interglobal Network LLC (“Way”) on the following grounds:

1. The Complaint alleges that the Federal Maritime Commission (“FMC”) has subject matter jurisdiction over claims in this action, yet it is entirely based upon demurrage incurred in a Chicago railyard, thus putting this matter outside the jurisdiction of the FMC.
2. The Complaint fails to meet the minimum pleading standards set forth in *Bell Atlantic Corp. v. Twombly*, 50 U.S. 544, 570 (2007), and *Ashcroft v. Iqbal*, 556 U.S. 662, 663 (2009) or the Commission’s rules of practice under 46 C.F.R. §502.62 (3)(a)(ii) and (v) due to its failure to allege factual allegations to support a claim for relief.
3. Complainant fails to allege that it suffered damages caused by violations of the Shipping Act.

## **MEMORANDUM IN SUPPORT OF MOTION TO DISMISS**

### **I. STANDARD OF REVIEW FOR MOTION TO DISMISS**

Under Rule 12 of the Commission's Rules of Practice and Procedure, the Commission follows the Federal Rules of Civil Procedure in instances that are not expressly covered by the Commission's Rules and to the extent that application of the Federal Rules is consistent with sound administrative practice. 46 C.F.R. § 502.12. “As the Commission's Rules do not address motions to dismiss for . . . failure to state a claim, Federal Rule[] . . . 12(b)(6) appl[ies] in this case.” *See also: Mitsui O.S.K. Lines, Ltd v. Global Link Logistics, Inc. et al.*, 2011 WL 7144008, \*11 (FMC: Served Aug. 1, 2011) (citing *The Lake Charles Harbor and Terminal District v. West Cameron Port, Harbor and Terminal District*, 2007 WL 2468431 (FMC: Served Aug. 2, 2007)).

To survive a motion to dismiss for failure to state a claim under Fed. R. Civ. P. 12(b)(6), a complaint must contain sufficient factual matter, accepted as true, to “state a claim to relief that is plausible on its face.” *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007). A claim “has facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged.” *Ashcroft v. Iqbal*, 556 U.S. 662, 663 (2009). However, a complaint should be dismissed if it does not “contain something more . . . than . . . a statement of facts that merely creates a suspicion [of] a legally cognizable right of action.” *See C. Wright & A. Miller, Federal Practice and Procedure* § 1216, pp. 235–236 (3d ed. 2004). As the U.S. Supreme Court has made clear: “A

pleading that offers ‘labels and conclusions’ or ‘a formulaic recitation of the elements of a cause of action will not do.’” *Iqbal*, 129 S. Ct. at 1949 (quoting *Twombly*, 550 U.S. at 555). Moreover, courts “are not bound to accept as true a legal conclusion couched as a factual allegation.” *Papasan v. Allain*, 478 U.S. 265, 286 (1986).

Allegations as to personal or subject matter jurisdiction are subject to a different standard of review pursuant to Rule 12(b)(1). Under a motion to dismiss for lack of subject matter jurisdiction, the Commission may consider a respondent’s challenge as to the factual allegations as to jurisdiction, in which case the allegation must be supported by evidence:

With regard to motions to dismiss a complaint for lack of subject matter jurisdiction under Rule 12(b)(1), such motions may assert either a factual attack or a facial attack to jurisdiction. A factual attack challenges "the existence of subject matter jurisdiction in fact, "irrespective of the pleadings, and matters outside the pleadings, such as testimony and affidavits, are considered."" . . . In a facial attack, on the other hand, the court examines whether the complaint has sufficiently alleged subject matter jurisdiction. . . . *Sinaltrainal v. Coca-Cola Company*, 578 F.3d 1252, 1260 (11th Cir. 2009)."

Once a respondent raises a factual attack as to subject matter jurisdiction, the Commission may consider matters outside the pleadings, and the plaintiff bears the burden of showing that there is subject matter jurisdiction:

Under Federal Rule of Civil Procedure 12(b)(1), a court must grant a motion to dismiss if the court lacks subject matter jurisdiction. A Rule 12(b)(1) motion "may assert either a factual attack or a facial attack to jurisdiction." DNB Exports, 2011 FMC LEXIS 26, \*7 (citations omitted). A facial attack challenges the sufficiency of the allegations in the complaint while a factual attack challenges "the existence of subject matter jurisdiction in fact, irrespective of the pleadings, and matters outside the pleadings, such as testimony and affidavits, are considered." Id. "[T]he plaintiff bears the burden of establishing that the court has jurisdiction." Grand Lodge of Fraternal Order of Police v. Ashcroft, 185 F. Supp. 2d 9, 13 (D.D.C. 2001); see also DNB Exports, 2011 FMC LEXIS 26, \*9. Dukart v. Ocean Star International Inc., 2020 FMC LEXIS 134 (ALJ Order 2020).

## II. ARGUMENT

### 1. THE COMPLAINT ESTABLISHES THAT THE COMMISSION LACKS SUBJECT MATTER JURISDICTION OVER THIS CONTRACTUAL DISPUTE

Under the Shipping Act of 1984, the FMC has been given oversight over ocean transportation and related parties, terms and conditions. In furtherance of that role, the FMC has assumed oversight of demurrage and detention charges for shipping containers at *marine terminals*. The FMC has not assumed oversight of

demurrage within inland yards or within the inland intermodal transportation network. The Complaint makes clear that the demurrage at issue in this dispute was incurred at rail yards in Chicago, Illinois, thus excluding this dispute from the FMC's jurisdiction.

Under its express terms, the Shipping Act granted the FMC authority to regulate demurrage (i.e. the "handling of property") by prohibiting common carriers, terminal operators and ocean transportation intermediaries from failing to establish and enforce just and reasonable practices as to the receiving, handling, storing or delivering of property. 46 U.S.C. § 41102(c). The FMC then interpreted the scope of the Shipping Act with respect to its rulemaking over demurrage and detention:

**Applicability and scope. This rule applies to practices and regulations relating to demurrage and detention for containerized cargo.** For purposes of this rule, the terms demurrage and detention encompass any charges, including "per diem," assessed by ocean common carriers, marine terminal operators, or ocean transportation intermediaries ("regulated entities") **related to the use of marine terminal space (e.g., land)** or shipping containers, not including freight charges. (46 CFR § 545.5(b) (Emphasis added.)

In other words, the FMC has limited the scope of its rulemaking as to demurrage to the confines of marine terminal space. It has not included inland

railyards, intermodal terminals, or inland storage yards within the scope of its rules and authority with respect to demurrage.

Here, the Complaint makes clear that the demurrage dispute at the center of this matter only concerns demurrage incurred at a railyard in Illinois: “Unifelix again demanded payment upfront for all shipping freight charges before releasing the Containers for pick up **from the rail yard in Chicago, IL.**” (Complaint, ¶ 15, p. 5. Emphasis added.). Similarly, the Complaint alleges that the containers are still located in and still incurring demurrage in Chicago. (Complaint, ¶ 17.). There are no allegations, facts, law or logic to support a finding that a Chicago railyard is a marine terminal.

This factual admission conclusively establishes the lack of jurisdiction since a complainant is bound by the admissions in its pleading. *See Freedom Nat. Bank v. N. Ill. Corp*, 202 F.2d 601, 605 (7th Cir. Ill. 1953).

Because the demurrage dispute in this case involves inland storage charges, this Complaint falls outside the subject matter jurisdiction of the FMC, and the Complaint must be dismissed in its entirety.

## **2. THE COMPLAINT MUST BE DISMISSED TO THE EXTENT IT INVOLVES AN ALLEGED BREACH OF SERVICE CONTRACT**

Pursuant to the plain language of the Shipping Act, the Commission’s jurisdiction is limited to determining whether there has been a violation of the Act.

See 46 U.S.C. § 41301(a). Therefore, those portions of the Complaint relating to an alleged breach of Unifelix's service contract must be dismissed with prejudice.

Many of the alleged Shipping Act violations in Way's Complaint are actually an alleged failure to fulfill service obligations under a service contract. For instance, Way alleges that Unifelix failed to properly support its invoices for services, submitted exorbitant charges, caused delays of shipments, failed to provide releases, delayed notifications, demanded payment upfront, all of which led to containers remaining in the container yard incurring demurrage, resulting in damages of \$1 million. (Complaint, ¶¶ 9, 11, 14, 15, 17, and 18.) These raise a claim for a breach of contract, not a claim of a violation of the Act. Accordingly, those claims must be dismissed.

Section 40502(f) of the Act provides that:

Unless the parties agree otherwise, the exclusive remedy for a breach of a service contract is an action in an appropriate court. The contract dispute resolution forum may not be controlled by or in any way affiliated with a controlled carrier or by the government that owns or controls the carrier. 46 U.S.C. §40502(f).

The Commission, in interpreting §40502(f), has stated:

We find that as a general matter, allegations essentially comprising contract law claims should be dismissed unless the party alleging the violation successfully rebuts the presumption that the claim is no more than a simple contract breach claim. In contrast, whether the alleged

violation raises issues beyond contractual obligations, the Commission will likely presume, unless the facts as proven do not support such a claim, that the matter is appropriately before the agency. *Cargo One, Inc. v. COSCO Container Lines Co., Ltd.*, 28 S.R.R. 1635, 1645 (2000)(internal footnotes omitted).

The Commission of its governing authority has been upheld by Congress. Ocean Shipping Reform Act of 1998, Pub. L. No. 105-258 (“OSRA”) (“[t]he bill would retain the 1984 Act provision providing that the exclusive remedy for a breach of a service contract is an appropriate court, not the FMC.”). Here, these claims raise a simple breach of contract claim, and they therefore should be dismissed from this action.

**3. THE COMPLAINT FAILS TO MEET THE *IQBAL* AND *TWOMBLY* STANDARD OR THE COMMISSION’S RULES ON PRIVATE PARTY COMPLAINTS**

Even if the Complainant was able to salvage the subject matter jurisdictional defects in its Complaint, the allegations lack the necessary specificity to support a claim. To recover damages for a Shipping Act violation, the Complainant must make “a recitation of the legal authority and jurisdiction for institution of the proceeding, with specific designation of the statutory provisions alleged to have been violated”. 46 CFR § 502.62(a)(3)(ii). Further, a claimant must establish a pattern and practice of unreasonable behavior. *See* 46 C.F.R. § 545.4: “This interpretive rule clarifies that

in order to violate § 41102(c), a regulated entity must engage in an unjust or unreasonable practice or regulation on a normal, customary, and continuous basis.” A claimant cannot successfully submit a claim for reparations under 46 U.S.C. § 41102(c) without proving both these elements.

Here, Complainant offers a series of conclusory allegations without any allegations of pattern or practice. Instead, Complainant states vaguely that “Respondent's actions alleged herein constitute failures to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering the property of WAY, the unlawful disclosure of WAY's information, failure by Respondent to establish, observe, and enforce just and reasonable practices relating to adjustment and settlement of claims in violation of 46 U.S.C. §§ 41102, 41103, 41104 and 46 C.F.R. §§545.4 and 545.5.” (Complaint, ¶ 6.).

Way’s Complaint also fails to identify which statute or regulation was allegedly violated other than to affix this string citation at the tail end of its allegations. The Complaint just infers that all allegations of the complaint violated various provisions of the Shipping Act. For instance: “Based on the foregoing conduct, Unifelix engaged in unfair or unjustly discriminatory action in violation of 46 U.S.C. § 41102(d).” (Complaint, ¶ 19). There is no explanation as to what act constituted an unfair or unjust discriminatory action. The same applies as to paragraphs 20-23 of the Complaint - bald listings of statutory provisions with no factual allegations to support any claimed violation.

It is impossible to determine from the Complaint how isolated actions rise to the level of patterns or practices, and which patterns and practices violate which parts of the Shipping Act. Accordingly, Complainant fails to state a claim under Fed. R. Civ. P. 12(b)(6) and 46 C.F.R. § 502.62(3)(a)(ii) and (v), and the Complaint should therefore be dismissed.

#### **4. COMPLAINANT ADMITS NO INJURY IN FACT AND HAS NO STANDING**

The Shipping Act provides that a private “complainant may seek reparations for an injury to the complainant caused by the violation” of the Act. 46 U.S.C. § 41301. The Shipping Act does not define “reparations,” but that term is ordinarily construed as “compensation for an injury or wrong.” See *In re Agent Orange Prod. Liab. Litig.*, 373 F. Supp. 2d 7, 48 (E.D.N.Y. 2005) (quoting Black's Law Dictionary at 1325 (8th ed. 2004)). In other words, reparations are compensatory awards for past damages.

Further, in order for a complaint to allege sufficient facts to support a valid cause of action, Complainant “must show with reasonable certainty that the violation of law is the proximate cause of the loss or injury.” See *Rose Int'l, Inc. v. Overseas Moving Network Int'l, Ltd.*, 29 S.R.R. 119, 187 (FMC 2001). Specifically, Complainant must show that “(a) damages must be the proximate result of violations of the statute in question; (b) there is no presumption of damage; and (c) the violation in and of itself without proof of pecuniary loss resulting from the unlawful act does not afford a basis for reparation.” *James J. Flanagan Shipping Corp. v. Lake Charles*

*Harbor and Terminal Dist.*, 30 S.R.R. 8, 13 (2003) (quoting *Waterman v. Stockholms Rederiaktiebolag Svea.*, 3 F.M.C. 248, 249 (1950); *Tractors and Farm Equipment Ltd. v. Cosmos Shipping Co., Inc.*, 26 S.R.R. 788, 798-99 (ALJ 1992).

Here, Way makes four allegations as to Unifelix's actions: 1) Unifelix purportedly violated its Service Contract by failing to support its invoices, submitting exorbitant charging and demanding payment for freight and other charges in advance; 2) Unifelix sought to unilaterally change the terms of its Service Contract; 3) Unifelix caused delays to the shipments due to late pickup notices and inaccurate status and service cost information; and 4) Unifelix "began to disclose the financial information" of Way to its vendors by demanding direct payment from the vendors. (Complaint, ¶ 9-12.)

Not only does the Complaint not allege which sections of the Shipping Act these actions violated (as discussed above), it also does not allege what damages resulted other than an unsupported claim that Way "sustained injuries and damages in an amount in excess of One Million Dollars (\$1,000,000.00)." However, this allegation that Way suffered \$1 million in damages is then immediately undermined by its admission that Way has not paid its freight or demurrage. (Complaint, ¶ 24.) One cannot recover reparations for damages that have not yet been and may never be sustained.

Critically, there is also no explanation as to how those claimed damages were caused by Unifelix's alleged violations. In fact, according to the plain language of the Complaint, most of the Unifelix's actions were merely attempted violations, and that

Unifelix's efforts were unsuccessful. For instance, Way alleges that Unifelix "demanded payment of freight and other charges in advance, in violation of the Service Contract," but it does not allege that Way paid any freight charges at all, much less that it paid them in advance. (Complaint, ¶ 9.)

Similarly, Way alleges that Unifelix "sought to unilaterally change the terms of the Service Contract" by demanding payment of all transportation charge in advance, but then goes on to allege that those changes were refused by Way. (Complaint, ¶10.) Even the allegations regarding Unifelix's actions that purportedly resulted in "accumulation of additional demurrage charges" do not state how those damages were caused, or the amount of additional charges that were incurred, and instead only vaguely allege that the charges were related to "certain containers." (Complaint, ¶11.)

The theory that Unifelix improperly disclosed financial information also lacks sufficient facts to support a claim. Way alleges as follows:

In the process of attempting to coerce WAY into a new Service Contract, Unifelix began to disclose the financial information of WAY to its vendors and others by demanding that WAY's vendors pay Unifelix directly for freight charges.

There is no explanation of what statute or Service Contract term this supposed coercion or disclosure violated, what information was disclosed, or whether those disclosures resulted in any damages. However, as discussed above, Way admits that the coercion was unsuccessful.

To have standing, a complainant must allege the following elements: (1) a personal injury, (2) fairly traceable to the defendant's allegedly unlawful conduct, and (3) likely to be redressed by the requested relief. *E.Y.K. Intl, Inc. v. Sea-Land Service, Inc.*, 1992 A.M.C. 2575, 2576 (C.D. Cal. 1992) citing *Allen v. Wright*, 468 U.S. 737, 751 (1984). Without an injury in fact, Complainant has no standing under Article III of the Constitution, and its Complaint must be dismissed. *Exel, Inc. v. S. Refrigerated Transp., Inc.*, 807 F.3d 140, 148 (6th Cir. Ohio 2015); *Im Ex Trading Co., Inc. Vessel BEATE OLDENDORFF*, 1993 A.M.C. 2925 (M.D. Fla. 1993). The Supreme Court has consistently held abstract or indefinite harm insufficient to confer standing. *Novak v. United States*, 795 F.3d 1012, 1018 (9th Cir. Haw. 2015). Way has not alleged facts to support a claim for any damages, and, without allegations of actual damages, Way lacks standing to bring this Complaint.

### **III. CONCLUSION**

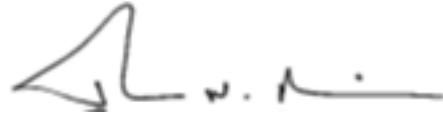
The Complaint establishes that this dispute falls outside the jurisdiction of the FMC in that it involves a dispute as to demurrage that accrued within a railyard in Illinois and not within a marine terminal. From the allegations, it is impossible to determine which patterns or practices allegedly violated which provision of the Shipping Act, if any. The Complainant also has no standing under Article III of the Constitution because the Complainant fails to allege that it has suffered any injury

in fact that would allow it to obtain reparations. Based on the foregoing, the Complaint should be dismissed.

Dated: December 1, 2022

Respectfully submitted,

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**CERTIFICATE OF SERVICE**

I hereby certify that on the 1st day of December 2022, I served the foregoing **RESPONDENT'S MOTION TO DISMISS COMPLAINT** on the parties listed below by electronic mail.

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